

HIGH COURT · JUDGMENT DIGEST

Sandeep Kesarwani v. State of U.P. & 3 Others

Writ Petition – C No. 69101/2013 | High Court of Judicature at Allahabad | Delivered 11 February 2014

COURT	High Court of Judicature at Allahabad (Division Bench)
CORAM	Hon'ble Mr. Justice Ashok Bhushan & Hon'ble Mr. Justice Mahesh Chandra Tripathi
DATE OF JUDGMENT	11 February 2014 (reserved 13 January 2014)
NATURE OF PROCEEDING	Writ petition under Article 226 challenging recovery proceedings initiated for electricity dues assessed on theft allegation
PARTIES	Sandeep Kesarwani, a consumer of electricity (petitioner) v. State of U.P. & 3 Others, the respondent being respondent no. 4 (Executive Engineer) (respondents)
PROVISIONS	Sections 50, 56(2), 126(1)–(6), 127, 135(1)–(1A), 153, 154(1) & 154(5)–(6), Electricity Act, 2003; Para 8.0(6) & Clause 8.1, U.P. Electricity Supply Code, 2005; Articles 14, 20(1) & 226, Constitution of India
RESULT	Writ petition disposed of. The recovery citation dated 19/11/2013 is set aside; the petitioner shall file objections to the provisional assessment notice dated 23/5/2011 within 15 days; the Executive Engineer shall reconsider and pass a fresh final assessment order within one month.

POINT FOR DETERMINATION

- Whether, in cases where theft of electricity is alleged under Section 135 of the Electricity Act, 2003, and a trial for the offence is pending before the Special Court, the Executive Engineer may make an assessment under Section 126 of the Act.
- Whether assessment under Section 126 is excluded in theft cases, and whether civil liability is to be determined only by the Special Court.
- Whether recovery proceedings are barred by Section 56(2) of the Electricity Act, 2003 on the ground of limitation.
- Whether the final assessment order dated 21/6/2013 was made in consonance with the principles of natural justice.

FACTS

The petitioner, a consumer of electricity, had obtained an electric connection. On 8 March 2011, a checking was conducted at the petitioner's premises and the petitioner was found indulging in theft of electricity through L.T. Lines without meter and utilising electricity for commercial purposes. An FIR was lodged on the same date under Section

135 of the Electricity Act, 2003; a charge-sheet was filed and Case Crime No. 53/2011 was registered, pending trial before the Special Judge, E.C. Act, Allahabad.

A provisional assessment notice dated 23 May 2011 was sent by registered post proposing an assessment of Rs. 8,49,173/-. The petitioner did not file any objection to the provisional assessment. A final assessment order dated 21 June 2013 was issued by the Executive Engineer, stating that since no objection was filed the assessment was being finalised. A citation dated 19 November 2013 was then issued against the petitioner for recovery of the amount as arrears of land revenue, against which the writ petition was filed.

The petitioner contended that the respondent no. 4 had no jurisdiction to make any assessment under Section 126 when allegations of theft under Section 135 had been made and an FIR lodged; that civil liability in theft cases is to be determined only by the Special Court under Section 154(5); that the recovery is barred by Section 56(2); and that the final assessment, made over two years after the provisional notice and without fresh opportunity, violates natural justice.

REASONING OF THE COURT

HEADNOTE

Assessment under Section 126 of the Electricity Act, 2003 is applicable even in cases where theft of electricity is alleged under Section 135 and criminal proceedings are pending before the Special Court. Theft is a species of the genus ‘unauthorised use of electricity’, and the assessment machinery of Section 126 must operate concurrently with the determination of criminal and civil liability by the Special Court. However, when a final assessment is made substantially later than the provisional notice (here, after two years) and without fresh opportunity to the consumer to file objections, the assessment violates natural justice and must be set aside and reconsidered with proper notice.

Assessment under Section 126 applies in theft cases. The appellant Court held that Section 126, in Part XII (‘Investigation and Enforcement’), applies whenever unauthorised use is found, including theft. The words ‘unauthorised use of electricity’ in Section 126 are wider and encompass all instances detailed in Section 135 (‘theft’). Theft is unauthorised use coupled with dishonest intention. The sixth proviso to Section 135(1) itself uses the words ‘assessed amount’, referring to the amount contemplated by Section 126, confirming that assessment must be made even in theft cases. The Court rejected the contention that Section 154(5)–(6), which empower the Special Court to determine civil liability, preclude assessment under Section 126; those provisions operate concurrently, not exclusively.

Section 126 and 135 are complementary, not mutually exclusive. Unauthorised use of electricity (genus) is defined in Explanation (b) of Section 126. All instances detailed in Section 135(1)(a)–(e) are species of unauthorised use. The Court noted that theft (which requires dishonesty under Section 135) is unauthorised use done dishonestly. Section 126 does not indicate that assessment shall not be made if unauthorised use becomes theft; Section 135 does not indicate that assessment under Section 126 is not to be undertaken if there is theft. The two sections operate in different fields: Section 135 determines criminal liability; Section 126 determines the civil recovery (assessed charges). Both can operate concurrently.

The U.P. Electricity Supply Code, 2005 confirms assessment in theft cases. Clause 8.1(a) of the Code, 2005 is headed ‘Procedure to be adopted by licensee for Inspection, Provisional Assessment Hearing and Final assessment in case of theft of electricity under Section 135 of the Act.’ Clause 8.1(b) clearly provides that the Authorised Officer must serve a provisional assessment bill with a show-cause notice, give 15 working days for objections, and after hearing, if theft is established, make the final assessment under the formula at 2 times the applicable tariff. The

existence of this detailed procedure in the Code, 2005, confirms the legislature's intent that Section 126 assessment is to be made in theft cases.

The Paliwal Alloys precedent confirms concurrent operation. *M/s. Paliwal Alloys (Pvt) Limited v. U.P. Power Corporation Ltd*, a Division Bench judgment of this Court in which Ashok Bhushan, J. was a member, held that theft of electricity under Section 135 is also unauthorised use of electricity for which assessment under Section 126 is contemplated. The Court noted that Section 135(1A), third proviso, provides that on deposit or payment of 'the assessed amount' (under Section 126), electricity is to be restored, confirming that the legislature contemplated assessment under Section 126 in theft cases. The right of appeal under Section 127 is available against the final assessment even in theft cases. This Court rejected the submission that appeal lies only under Section 126 and not Section 135.

SESCO judgment does not exclude assessment in theft. *Executive Engineer, SESCO v. Sri Seetaram Rice Mill* drew the distinction between unauthorised use (Section 126, civil, no mens rea required) and theft (Section 135, criminal, mens rea relevant). But the Apex Court did not lay down that assessment under Section 126 is excluded in theft cases; it only clarified that the fields are distinct. The Court in the present case held that the distinction does not mean Section 126 assessment is inapplicable when theft is alleged.

Section 56(2) does not bar recovery here. Section 56(2) provides that no sum due from a consumer is recoverable after two years unless it has been shown continuously as recoverable as an arrear. Under Section 126, a sum cannot be held to be due until a final assessment is made. Here, the final assessment was made on 21 June 2013, and the citation was issued on 19 November 2013, well within two years. The bar under Section 56(2) is not attracted.

Violation of natural justice: delay and lack of fresh notice. Although the petitioner did not file objections to the provisional assessment dated 23 May 2011, the final assessment was made on 21 June 2013, more than two years later. Under Section 126(3), a final order of assessment is to be passed within 30 days of service of the provisional assessment. The gap of two years, without a fresh notice or opportunity, renders the final assessment order a violation of natural justice. In the circumstances, the writ petition is entertained on merits and the final assessment order is set aside. The petitioner is entitled to file fresh objections within 15 days, and the Executive Engineer is to reconsider and pass a fresh final assessment order within one month.

INTERPRETATION OF THE ELECTRICITY STATUTES

ELECTRICITY ACT, 2003

Section 126 – Assessment of Unauthorised Use (including Theft)

Section 126 applies to all cases of unauthorised use of electricity, including theft under Section 135. Unauthorised use is the genus (defined in Explanation (b), Section 126); theft is a species (specific instances in Section 135(1)(a)–(e), coupled with dishonesty). Assessment under Section 126 is mandatory whenever unauthorised use is found, irrespective of whether the use is also alleged to be theft and criminal proceedings are pending.

Section 135 – Theft of Electricity (offence and concurrent civil liability)

Section 135, in Part XIV, defines theft (with mens rea) and prescribes criminal penalties. The same conduct attracting Section 135 liability also falls within 'unauthorised use' under Section 126. Assessment under Section 126 and determination of civil liability by the Special Court under Section 154(5)–(6) are concurrent and complementary, not mutually exclusive. The Special Court determines the civil liability in money terms; the Executive Engineer's assessment under Section 126 is the initial step towards recovery.

Section 154(5) & 154(6) – Special Court’s Determination of Civil Liability

The Special Court shall determine the civil liability against a consumer for theft at not less than twice the tariff rate for twelve months or the exact period of theft, whichever is less. Any amount deposited by the consumer in accordance with Section 126 (the provisional and final assessment) will be adjusted and any excess refunded by the Board or licensee within a fortnight. The reference to ‘amount deposited’ in Section 154(6) necessarily refers to the assessed amount under Section 126, confirming concurrent operation of both sections.

Section 56(2) – Limitation on Recovery

No sum due from a consumer is recoverable after two years unless it has been shown continuously as recoverable as an arrear. The sum becomes due when a final assessment is made under Section 126, not from the date of checking or provisional assessment. Recovery proceedings initiated within two years of the final assessment are not barred by this provision.

Natural Justice – Opportunity of Hearing in Assessment

Where a provisional assessment notice is served, the consumer must be afforded a reasonable opportunity to file objections. If a final assessment is not made within 30 days as stipulated in Section 126(3), and a substantial period elapses before the final assessment order is issued, a fresh opportunity must be given to the consumer before the order is finalised. Assessment in violation of these principles is ultra vires and liable to be set aside.

RATIO DECIDENDI

Assessment under Section 126 of the Electricity Act, 2003 is applicable and mandatory in all cases of unauthorised use of electricity, including cases where theft is alleged under Section 135 and criminal proceedings are pending before the Special Court. Theft is unauthorised use coupled with dishonest intent; both Sections 126 and 135 operate concurrently and in complementary fields. However, where a final assessment order is issued substantially later than the provisional notice without fresh opportunity to the consumer to file objections, the order violates natural justice and must be set aside and reconsidered with proper notice.

ALSO HELD & OBITER

- **The Apex Court’s pronouncements on Section 126 and 135 distinction.** *Executive Engineer, SESCO v. Sri Seetaram Rice Mill* and *Tirumala Modern Rice Mill v. AP Transco* drew the line between unauthorised use (Section 126) and theft (Section 135), noting that Section 126 applies where there is no mens rea and Section 135 requires dishonesty. These distinctions demarcate the scope of the two provisions but do not exclude assessment under Section 126 in theft cases; they clarify different aspects of the same conduct.
- **Appeal under Section 127 lies in theft cases.** Although the final assessment against the present petitioner can be appealed under Section 127, the Court entertained the writ petition on the jurisdictional and natural-justice grounds raised – namely, the two-year delay and the absence of fresh notice – without requiring the petitioner first to pursue the statutory remedy of appeal.

DISPOSITION

Writ petition disposed of with directions. The Recovery Citation dated 19/11/2013 (Annexure-3) is set aside. The petitioner shall file objections to the provisional assessment notice dated 23/5/2011 within 15 days from the date of the judgment before the Executive Engineer. The Executive Engineer shall consider the objections and pass a fresh final assessment order within one month. It shall be open to the respondents to proceed further in accordance with law after making the final assessment as directed. Parties shall bear their own costs.

SIGNIFICANCE

A Division-Bench ruling on the interplay of assessment and offence provisions in the Electricity Act, 2003. Five propositions emerge:

- **Assessment applies concurrently in theft cases.** Section 126 assessment is not excluded merely because theft is alleged under Section 135. The unauthorised-use machinery and the theft-offence machinery operate in different fields and are complementary, not exclusive.
- **Unauthorised use (Section 126) and theft (Section 135) are genus and species.** Theft is unauthorised use coupled with dishonest intent. The definition of unauthorised use in Section 126 is wide enough to encompass all theft instances in Section 135. Thus assessment under Section 126 applies to theft cases.
- **The U.P. Supply Code prescribes the assessment procedure even in theft.** Clause 8.1(a) of the U.P. Electricity Supply Code, 2005 explicitly provides for provisional assessment, notice, hearing and final assessment in theft cases, confirming the legislature's intent that Section 126 applies to theft.
- **The Special Court and the Assessing Officer have distinct roles.** The Executive Engineer makes the initial assessment under Section 126; the Special Court determines the final civil liability under Section 154(5). The two determinations are concurrent and do not displace each other.
- **Natural justice requires fresh opportunity if final assessment is delayed.** A final assessment made years after the provisional notice, without fresh notice or opportunity, is ultra vires. The consumer must be given a fresh chance to file objections in such cases.

TABLE OF AUTHORITIES

Authorities cited and discussed in the judgment. 'Applied', 'Followed', 'Distinguished' and 'Referred' reflect the Court's treatment.

AUTHORITY	PROPOSITION & HOW TREATED	TREATMENT
<i>M/s. Paliwal Alloys (Pvt) Limited v. U.P. Power Corporation Ltd</i> 2009 (7) ADJ 455 · Allahabad High Court (DB)	Held that theft of electricity under Section 135 is also unauthorised use of electricity for which assessment under Section 126 is contemplated. The sixth proviso to Section 135(1A) refers to 'assessed amount', confirming concurrent assessment. Right of appeal under Section 127 is available even in theft cases. Applied as controlling precedent of this Court.	Applied
<i>M/s Radha Krishna Cold Storage v. State of U.P. and Others</i> Writ Petition No. 19574 of 2008 · Allahabad High Court (DB)	A Division Bench observed that mere non-mention or incorrect mention of relevant provisions does not vitiate the assessment order; the order is referable to Section 126 and appeal lies under Section 127 even where the order purports to be under Section 135.	Referred
<i>Ashok Kumar and Others v. State of U.P. and Others</i> 2008 (6) ADJ 669 · Allahabad High Court (DB)	Held that unauthorised use as defined in Explanation (b) of Section 126 covers acts/omissions that constitute an offence under Section 135. The assessing officer must record its conclusion and give an opportunity of hearing before concluding that a person is indulging in unauthorised use.	Referred

AUTHORITY	PROPOSITION & HOW TREATED	TREATMENT
<i>Chairman, West Bengal State Electricity Board and Others v. Syed Mukbul Hossain and Others</i> (2009) 2 SCC 727 · Supreme Court	Apex Court noticed the right of appeal under Section 127 even in a case of theft of electricity, confirming that assessment procedures apply in theft cases.	Referred
<i>Tirumala Modern Rice Mill, Adilabad District v. Transmission Corporation of A.P. Ltd. (AP Transco), Hyderabad</i> AIR 2007 AP 265 · Andhra Pradesh High Court	The petitioner’s mainstay: it held that a careful reading of Section 135 and the Explanation to Section 126 shows that some unauthorised uses of electricity also amount to theft. Held <i>not</i> to lay down that no assessment under Section 126 can be made in a case of theft — “the said authority cannot be read in a manner as suggested” — and, the issue being covered by the Division Bench in <i>Paliwal Alloys</i> , it does not lend any support to the petitioner.	Distinguished
<i>Executive Engineer, Southern Electricity Supply Company of Orissa Limited (SESCO) & Another v. M/s. Sri Seetaram Rice Mill</i> (2012) 2 SCC 108 · Supreme Court	Apex Court drew the distinction between ‘unauthorised use of electricity’ (Section 126, civil, no mens rea) and ‘theft of electricity’ (Section 135, criminal, mens rea relevant). Sections 126 and 135 operate in different and distinct fields. Distinguished: the judgment did not exclude assessment under Section 126 in theft cases, but only clarified the distinction between the two offence categories.	Distinguished
<i>Tinsukhia Electricity Supply Co. Ltd. v. State of Assam & Others</i> (1989) 3 SCC 709 · Supreme Court (Constitution Bench)	Held that the provision of a statute must be construed as to make it effective and operative; courts should lean against any construction which tends to reduce a statute to futility. Applied to interpret Sections 126 and 135 in a harmonious manner so both are workable.	Referred

This digest is a condensed reference prepared from the text of the judgment. It is not a substitute for the full judgment and should be verified against the original before use.